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I DON'T KNOW WHAT I EXPECTED, but my first morning in the Oval Office had a surprising ring of familiarity to it. It reminded me a lot of my job as governor. On my desk was a schedule of appointments for the day; there were meetings with the cabinet, staff, and legislators; and outside my door were Ed Meese, Mike Deaver, and others who had been with me in Sacramento. There was another similarity: Just as I'd come to Sacramento when the state was facing its worst financial crisis in decades, I was arriving in the White House as the country was experiencing what many economists called its greatest economic emergency since the Great Depression.

The most immediate priority was dealing with double-digit inflation, high unemployment, and a prime interest rate of 21.5 percent, the highest since the Civil War.

As I've said, I believed that policies of the federal government reaching back for decades were mostly responsible for the problems. Although I knew we couldn't turn things around overnight, I wanted to begin reversing those mistakes, and now I had a chance to try to do it. With my advisors, I had begun working on an economic recovery plan the first day after the election. The morning after inauguration day, at our first cabinet meeting, and at a meeting the following day of a team of specialists I had appointed to coordinate economic policy, we began the job of implementing the plan.

Its basis was tax reform—reducing federal income tax rates from top to bottom. Simply put, I believed that if we cut tax rates and reduced the proportion of our national wealth that was taken by Washington, the economy would receive a stimulus that would bring down inflation,